

the biggest market opportunities in history. Yet the vast majority managed to make no money at all.⁵ We saw the same phenomenon with Facebook, which faced early competition from other college-based social networks whose head start proved irrelevant.

What differentiates the success stories from the failures is that the successful entrepreneurs had the foresight, the ability, and the tools to discover which parts of their plans were working brilliantly and which were misguided, and adapt their strategies accordingly.

Value and Growth

As we saw in the Facebook story, two leaps of faith stand above all others: the value creation hypothesis and the growth hypothesis. The first step in understanding a new product or service is to figure out if it is fundamentally value-creating or value-destroying. I use the language of economics in referring to value rather than profit, because entrepreneurs include people who start not-for-profit social ventures, those in public sector startups, and internal change agents who do not judge their success by profit alone. Even more confusing, there are many organizations that are wildly profitable in the short term but ultimately value-destroying, such as the organizers of Ponzi schemes, and fraudulent or misguided companies (e.g., Enron and Lehman Brothers).

A similar thing is true for growth. As with value, it's essential that entrepreneurs understand the reasons behind a startup's growth. There are many value-destroying kinds of growth that should be avoided. An example would be a business that grows through continuous fund-raising from investors and lots of paid advertising but does not develop a value-creating product.

Such businesses are engaged in what I call success theater, using the appearance of growth to make it seem that they are successful. One of the goals of innovation accounting, which is discussed in depth in [Chapter 7](#), is to help differentiate these false startups from true innovators. Traditional accounting judges new ventures by the same standards it uses for established companies. but these